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Case Number: NAIH-9562-1/2024.
Subject: Decision establishing a violation
(NAIH-3005/2022.)

H E A R I N G

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] (hereinafter: Applicant) requested, and the Authority initiated an official data protection authority procedure to examine the recording of calls and the related notification practice during telephone customer service by [...] (hereinafter: Respondent), and makes the following decisions:

1. The Authority finds the Respondent guilty of violating the principle of transparency as defined in Article 5(1)(a) of Regulation (EU) 2016/679 (hereinafter: General Data Protection Regulation) regarding the processing of personal data of natural persons, both in relation to the Applicant and in general practice.
2. The Authority finds the Respondent guilty of violating the principle of accountability as defined in Article 5(2) of the General Data Protection Regulation, both in relation to the Applicant and in general practice.
3. The Authority instructs the Respondent to make the data processing examined in this case transparent within 30 days of receiving this decision, by specifying in its notifications regarding data processing that communication with the Respondent's on-site technician, who performs troubleshooting, will also be recorded as a telephone call conducted through the Respondent's customer service.
4. The Authority obliges the Respondent to pay a data protection fine of 1,000,000 HUF, that is, one million forints due to the violations established concerning the Applicant in the application procedure.

* * *

The Respondent must prove in writing to the Authority, within 30 days of receiving this decision, that it has taken the measures prescribed in point 3, along with the submission of supporting evidence.

The data protection fine must be paid within 30 days of receiving this decision to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to the NAIH-9562/2024. FINE number.

If the Respondent fails to comply with the obligation to pay the fine by the deadline, it must pay a late fee to the above account number. The amount of the late fee is the statutory interest, which corresponds to the central bank base rate valid on the first day of the calendar half-year affected by the delay.

In case of non-compliance with the obligation under point 3, as well as non-payment of the data protection fine and the late fee, the Authority orders the enforcement of the decision.

There is no administrative remedy against this decision, but it can be contested in an administrative lawsuit with a lawsuit addressed to the Metropolitan Court within 30 days from the notification. The

lawsuit must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A request for a hearing must be indicated in the lawsuit. For those not fully exempt from personal fees, the administrative lawsuit fee is 30,000 HUF, and the subject matter is subject to fee recording rights. Legal representation is mandatory in proceedings before the Metropolitan Court.

REASONING

I. The procedure and the clarification of the facts

(1) The Applicant turned to the Authority on February 16, 2022, with a request to initiate a data protection authority procedure, registered under case number NAIH-3005-1/2022.

(2) In its decision dated February 21, 2022, with case number NAIH-3005-2/2022, the Authority, after reviewing the Applicant's request to initiate a data protection authority procedure, found it to be incomplete and therefore issued a call for supplementation.

(3) The Authority sent its decision calling for supplementation by postal service to the Applicant's address on February 22, 2022, as an attachment to the accompanying letter with case number NAIH-3005-3/2022, while it sent it electronically to the Applicant's customer portal on February 23, 2022, as an attachment to the accompanying letter with case number NAIH-3005-4/2022.

(4) The Applicant supplemented the deficiencies of the request in its submission registered on February 23, 2022, under case number NAIH-3005-5/2022.

(5) The Authority notified the Respondent of the initiation of the data protection authority procedure in its decision dated March 8, 2022, with case number NAIH-3005-6/2022, and also called for a statement to clarify the facts.

(6) The Respondent submitted its statement to the Authority in its submission registered on April 7, 2022, under case number NAIH-3005-7/2022.

(7) The Applicant requested information on the status of the data protection authority procedure in its submission registered on May 4, 2022, under case number NAIH-3005-8/2022.

(8) The Authority informed the Applicant about the progress of the procedure so far in its letter dated May 30, 2022, with case number NAIH-3005-10/2022.

1 The form NAIH_K01 serves to initiate the administrative lawsuit: NAIH_K01 form (2019.09.16.) The form can be filled out using the general form filling program (ÁNYK program). The form is available at the following link: <https://naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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(9) The Authority further – having determined that additional questions needed clarification – summoned the Applicant to provide a statement again in its order dated May 30, 2022, with file number NAIH-3005-9/2022.

(10) The Applicant submitted their statement to the Authority in their submission registered on June 14, 2022, under file number NAIH-3005-11/2022.

(11) After reviewing the contents of the Applicant's response letter, further questions needed clarification; therefore, the Authority called upon the Applicant to submit audio materials in its order dated July 5, 2022, with file number NAIH-3005-12/2022.

(12) The Applicant sent the requested audio materials to the Authority in their submissions registered on July 22, 2022, under file numbers NAIH-3005-13/2022 and NAIH-3005-14/2022, as well as in their submission registered on July 25, 2022, under file number NAIH-3005-15/2022, along with their statement related to the audio materials.

(13) Considering that further questions needed clarification after reviewing the statements made by the Applicant, the Authority again summoned the Applicant to provide a statement in its order dated August 11, 2022, with file number NAIH-3005-16/2022.

(14) The Applicant submitted their statement to the Authority in their submission registered on September 5, 2022, under file number NAIH-3005-17/2022.

(15) An employee of the Authority prepared a note regarding the audio recordings submitted by the Applicant and their content in a document registered on September 12, 2022, under file number NAIH-3005-18/2022.

(16) Subsequently, based on the evidence available to it, the Authority informed the Applicant in its order dated September 12, 2022, with file number NAIH-3005-19/2022, that the evidentiary procedure in the data protection authority procedure had been completed and drew the Applicant's attention to the fact that they could become acquainted with the evidence uncovered during the clarification of the facts, taking into account the rules of document inspection, and could submit further evidentiary motions.

(17) The Authority provided the same information to the Applicant in its order dated September 12, 2022, with file number NAIH-3005-20/2022.

(18) The Applicant submitted a request for document inspection to the Authority in their submission registered on September 16, 2022, under file number NAIH-3005-21/2022, requesting that the Authority send them a copy of the documents generated in the case electronically.

(19) The Authority sent the Applicant electronically, as an attachment to its order dated September 20, 2022, with file number NAIH-3005-22/2022, copies of all documents generated during the procedure that did not originate from the Applicant and were not sent to the Applicant.

(20) Following this, the Applicant did not provide any further statements or submit additional evidentiary motions.

(21) The Applicant did not exercise their right to inspect documents, nor did the Applicant provide any further statements or submit additional evidentiary motions.

(22) According to the Applicant's request for the initiation of a data protection authority procedure – and as clarified by the Authority's order calling for the supplementation of deficiencies – on December 23, 2021, and January 14, 2022, the Applicant's technician, who was dispatched to the site for troubleshooting, then on January 2022...

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On the 21st day, the customer service representative called from a Budapest number unknown to the Applicant [...], but not from the customer service [...] phone number.

(23)

According to the application, it was not communicated to the Applicant during the calls that recordings were being made of the conversations. The Applicant argues that while Section 141 of Act C of 2003 on Electronic Communications (hereinafter: Eht.) mandates mandatory recording by the service provider, the information required under point a) of Section 14 of Act CXII of 2011 on Informational Self-Determination and Freedom of Information (hereinafter: Infotv.) was not provided, thus the Applicant could not exercise the option to terminate the call in protest against the data processing. As a result, the Respondent obtained access to the personal data defined in point 2 of Section 3 of the Infotv. without the Applicant's consent and against their will. During the telephone conversation on January 21, 2022, the representative only informed the Applicant that the call was being recorded in response to the Applicant's inquiry, at which point the Applicant requested that the recorded audio material be made available.

(24)

The Applicant believes that in its electronic letter dated February 16, 2022, the Respondent acknowledged the recording of the conversation and the lack of information provided.

(25)

The subject of the email provided by the Applicant to the Authority concerns an investigation into a complaint initiated by the Applicant regarding the quality of the Respondent's service, in which one

paragraph states that: "On December 23, 2021, January 14, 2022, and January 21, 2022, our employees called you through the dedicated call center, during which no prior information was provided that the conversation was taking place on a recorded line. Therefore, we have the opportunity to provide you with the audio material of the specified consultations as per your request."

(26)

From this, the Applicant inferred that the Respondent acknowledged the fact of the violation.

(27)

According to the Applicant's request, they received the requested audio material; however, they were unable to attach the wav audio files on the e-paper page, and therefore did not send them to the Authority. According to their statement, however, the Respondent provided the files with the names 0917704207612.wav, 0917704229672.wav, 0917704238148.wav, and 0969315437415.wav.

(28)

Based on the above, the Applicant requested the Authority to establish the violation, namely the failure to provide information regarding the recording, and requested that the Authority instruct the Respondent to cease the violation in the future.

(29)

According to the Respondent's statement registered under case number NAIH-3005-7/2022, it qualifies as an electronic communications service provider under point 17 of Section 188 of the Eht., and its service is classified as an electronic communications service under point 16. According to point 13 of Section 188 of the Eht., a natural person subscriber who has declared that they are using the subscriber service under point 27 outside of their economic activity is classified as an individual subscriber.

(30)

According to this statement by the Respondent, the electronic communications service qualifies as a public service under point h) of Section 2 of Act CLV of 1997 on Consumer Protection (hereinafter: Fgytv.) in effect during the examined period. Accordingly, a natural person acting for purposes outside their independent profession and economic activity who uses an electronic communications service is considered a consumer under point a) of Section 2 of the Fgytv., and in relation to the service, the individual subscriber service also qualifies as a good under point l) of Section 2 of the Fgytv., and the contract concluded between them and the Respondent qualifies as a service contract under point k) of Section 2 of the Fgytv.

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(31)

According to this, the Respondent stated that the Applicant qualifies as an individual subscriber under the Eht. and as a consumer under the Fgytv., thus the legal relationship established between the Respondent and the Applicant is governed by both the provisions of the Eht. and the Fgytv.

(32)

According to the Respondent's statement, Section 17/B (3) of the Fgytv. stipulates that "telephone communication between customer service and the consumer must be recorded." The Respondent's legal position is that this requirement constitutes data processing based on the legal ground specified in Article 6(1)(c) of the General Data Protection Regulation, and at the same time qualifies as mandatory data processing under Section 5(3) of the Infotv.

(33)

The Respondent examined whether the provision of the Fgytv. meets the conditions under Section 5(3) of the Infotv., namely that the Fgytv. is, on the one hand, a statutory level regulation, thus the mandatory data processing is recorded at an appropriate level of legal source, and on the other hand, the Fgytv. defines all mandatory substantive requirements related to data processing, including the purpose of data processing, the conditions, the types of data to be processed, the identity of the data controller, and the duration of data processing. Accordingly:

- the identity of the data controller: the service provider, in this case, the Respondent;

- the conditions of data processing: those specified in Sections 17/B (3), (3a), and (3b) of the Fgytv.;
- the types of data to be processed: audio recording;
- the duration of data processing: five years;
- the purpose of data processing: the Fgytv. does not explicitly state the purpose of data processing; it can be determined by revealing the legislative intent. Accordingly, on the one hand, every rule that is recorded in the Fgytv. and serves the protection of consumers aims at the "protection and enforcement of consumer interests" as stated in the preamble. The legislative justification for making audio recordings states: "the subsequent proof of statements made over the phone."

(34)

According to the Respondent's statement – based on the transparency requirements of both the Eht., the Fgytv., and the General Data Protection Regulation – it primarily informs the data subjects about data processing through its General Terms and Conditions (hereinafter: GTC). For the three telephone conversations in question, two GTCs were applicable:

- for the telephone conversation held on December 23, 2021, the GTC that came into effect on December 15, 2021;
- for the telephone conversations held on January 14 and 21, 2022, the GTC that came into effect on January 1, 2022.

(35)

According to the Respondent's statement, both GTCs – with unchanged text relative to each other – recorded (as does the GTC in effect on the date of the statement) in [...] that the service provider makes an audio recording of inquiries, complaints, and notifications related to the subscriber relationship received on customer service phone numbers, as well as of telephone communication between the service provider and the subscriber, and of outgoing calls initiated regarding these, which is retained in a retrievable manner for at least five years following the recording.

(36)

According to its statement, in the case of any call initiated by a caller to the telephone customer service, the Respondent informs the caller, prior to the commencement of verbal administration, with the help of an automated system about Sections 17/B (3) and (3b) of the Fgytv.

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Regarding the provisions contained herein, including the fact of audio recording, its duration, the availability of a copy of the audio recording, as well as the automatic reference to point [...] is made. Detailed rules regarding data processing can be found in the referenced part of the General Terms and Conditions (GTC) as well as in the data processing information document, which forms an annex to the GTC [...], to which the automatic reference is also made. Based on these – and due to the fact that the data processing is mandated and made compulsory by law – the position of the Applicant is that it is transparent for the data subject that conversations conducted with the Applicant are recorded in all cases.

(37)

During a phone call initiated by the customer service, according to the internal instructions of the Applicant, the following information must be communicated: "Hello, I am XY from the [...] customer service, I am looking for XYZ. Did I reach you at a suitable time regarding XXXX? Before we start the discussion, I would like to inform you that the conversation will be recorded, which we will handle, make available, and store for 5 years in accordance with the provisions of the General Terms and Conditions available on the [...] website and in our stores at point [...]. The unique identifier of the audio recording consists of the time of the call and your phone number."

(38)

For all these reasons, the position of the Applicant is that all information related to data processing was available to the Applicant, thus the data processing was transparent for the affected Applicant. The

Applicant did not dispute that during the three phone conversations indicated by the Authority, there was no information provided regarding the recording of the specific conversation; however, according to the Applicant's position, this does not constitute a violation of data protection regulations. To support this, the Applicant referred to Article 13 (1) and (2) of the General Data Protection Regulation, which explicitly states what information must be provided to the data subject at the time of obtaining personal data, but these paragraphs do not apply according to paragraph (4) if and to the extent that the data subject already has the information.

(39)

According to the statement of the Applicant, as can be heard from the audio recordings provided to the Authority, all three phone conversations were related to the on-site visit of the Applicant's technician who was troubleshooting, and all of them (i.e., the on-site troubleshooting) were initiated by the Applicant. The general practice of the Applicant is that before the agreed time and upon arrival at the site, the technician who is troubleshooting contacts the person requesting the troubleshooting. On one hand, this is a significant convenience for the person requesting troubleshooting, as they know exactly when the Applicant's technician will arrive on-site; on the other hand, it avoids situations where the person is "not at home" by allowing them to coordinate when the technician will arrive on-site and when the person requesting troubleshooting should be at the specified address. On the other hand, it is common that the Applicant's technician, although arriving at the specified location, cannot enter due to a lack of a doorbell or nameplate. Therefore, they may call the person requesting troubleshooting to inform them of their arrival. In such cases, the Applicant's technician calls the person requesting troubleshooting using their mobile phone but through the Applicant's customer service at the provided contact number. When someone requests troubleshooting, there is always a phone number verification during the initiated phone call, through which the Applicant's technician can call to inform that they will arrive shortly or have arrived. The notification of the on-site visit is also a phone conversation between the customer service and the consumer according to Section 17/B (3) of the Consumer Protection Act, as the customer service informs the person requesting troubleshooting about the relevant information (expected arrival or actual arrival). In such cases, the Applicant always records the phone conversation according to Section 17/B (3) of the Consumer Protection Act.

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(40) According to the statement of the Respondent, as can be heard in the recorded telephone conversations, the technician dispatched to the location for troubleshooting always stated their name and the name of the Respondent. Furthermore, it is recorded in the Authority's fact-finding decision that the Respondent calls the affected party as the calling party using caller ID. The Respondent believes that based solely on these facts, it is reasonable and in good faith to assume that the affected party is aware of the fact of data processing; thus, according to Article 13(4) of the General Data Protection Regulation, the colleague performing the troubleshooting is no longer required to read out the full data processing information during a call initiated by the telephone customer service when they indicate that they will be there within half an hour or are already at the gate. Beyond the fact that the Respondent considers the entire data processing to be transparent, they argue that such information would not be practical. In the specific case, the Respondent wishes to support the application of Article 13(4) of the General Data Protection Regulation by stating that the Applicant was aware of the fact of data processing, as they subsequently exercised their rights as a data subject and consumer and requested the audio recording. According to the Respondent, it is indisputable that only a person who is aware of the existence of the audio recording can request it. This is further supported by the fact that during the exercise of their rights as a data subject, the Applicant referred to the relevant point of the General Terms and Conditions (GTC) as follows: "Dear Customer Service! Based on point [...] of the GTC, I request the provision of the audio recordings listed below, which were made during telephone conversations initiated by the service provider:"

(41) The Respondent also sent the Authority copies of the correspondence between the Applicant and the Respondent, as well as audio recordings in the files identified by the Applicant, namely 0917704207612.wav, 0917704229672.wav, and 0917704238148.wav.

(42) According to the Respondent's statement, the data processing in question is not an isolated operation within the legal relationship between the Applicant and the Respondent, but rather a mandatory data processing in every such procedure, handling approximately 130,000-160,000 audio recordings of telephone calls monthly, and around 1,700,000 annually as mandatory data processing.

(43) According to the Respondent's statement, technically, the affected party does not have the option to refuse consent to the recording of the audio, if we interpret the phrase "not to consent" in connection with the legal basis under Article 6(1)(a) of the General Data Protection Regulation, considering that the legal basis for data processing is not the consent of the affected party, but rather mandatory data processing under Article 6(1)(c). If we interpret it as a common phrase, then of course there is, since if someone does not wish for a recording to be made of the conversation with them, they can visit any personal customer service of the Respondent or contact the Respondent in writing. If we interpret all of this in relation to the specific case, then the affected party "consents" to being called by the technician dispatched by the Respondent for troubleshooting when they provide their contact phone number. If they do not wish this, they must state it during the phone call they initiated regarding the fault report.

(44) According to the Respondent's statement, they inform the affected parties in point [...] of the GTC (data processing information for subscribers and users) that they record audio of every conversation conducted with the Respondent's telephone customer service; therefore, if they do not wish for an audio recording to be made during the telephone administration, they can conduct their administration in person at the Respondent's stores or resellers, or they can also contact the Respondent in writing at any of the provided contact details.

(45) According to the Respondent's statement, technically, the affected party does not have the option to object to the recording of the audio, since if we interpret the objection as a right of the affected party, Article 21(1) of the General Data Protection Regulation states that the general data protection...

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Article 6, paragraph (1), points e) and f) of the regulation provides for the right to object in the cases specified, while point c) does not. If we take the term "objection" in its everyday sense, the affected party must object as described above when they provide their contact phone number for troubleshooting during the phone call they initiated.

(46)

According to the statement of the Respondent, the two above-mentioned scenarios cannot be interpreted legally, and thus their consequences cannot be legally interpreted either. In everyday language, the consequence of the affected party not providing their contact details is that the technician dispatched by the Respondent for troubleshooting will not be able to inform them of the expected or actual arrival, which may result in the troubleshooting failing due to the inability to access the property. Therefore, it is not realistic for the affected parties to "object" to the call made by the Respondent (and thus the recording) – as the Respondent assesses based on the attached phone calls that the call from the technician dispatched to the site was also beneficial for the Applicant.

(47)

Furthermore, according to the Respondent's statement, contrary to the Applicant's assertion, the acquisition of personal data was not unlawful but occurred based on a statutory obligation, a mandatory data processing requirement. The Respondent does not even have the opportunity to assess the necessity of data processing in relation to the acquisition of the data, as the legislator has made the recording of the data mandatory for them. Based on this, the Respondent disputes that the Applicant's personal data was unlawfully obtained.

(48)

According to the Respondent's position, by providing the audio recordings to the Applicant, they fulfilled their legal obligation incorporated into the regulation as a result of the amendment initiated by the President of the Authority.

(49)

The Respondent's position is that in the letter dated February 16, 2022, sent to the Applicant, they did

not acknowledge any violation; they merely stated that there had indeed been no prior notification regarding the fact of the recording of the phone call in the specific conversation.

(50)

According to the Respondent's statement registered under case number NAIH-3005-11/2022, the Applicant contacted the Respondent's customer service with a report of a fault 21 times between December 16, 2021, and the initiation of the Authority's procedure on February 17, 2022, of which two reports were made via telephone. The reports were recorded as follows:

- On December 16, 2021, the Applicant reported the fault through the website. On December 20, 2021, the Respondent replied in writing to the [...] email address.
- On December 20, 2021, the Applicant again reported the fault on the website. On December 22, 2021, a customer service representative from the Respondent called, who created a dispatch work order based on the consultation.
- On December 23, 2021, the Applicant reported the fault on the website.
- On December 25, 2021, the Applicant reported the fault on the website. On December 27, 2021, the Respondent requested the Applicant's patience until the repair.
- On December 20, 2021, the Applicant also reported the fault via email, regarding which the Respondent informed the Applicant via email on January 13, 2022, that they had not reached the Applicant by phone.
- On January 14, 2022, the Applicant reported the fault twice on the website.
- On January 14, 2022, the Applicant also reported the fault by phone.

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- On January 20, 2022, the Applicant reported the issue via telephone. On January 21, 2022, the Applicant was not at home, so on that day, the Respondent scheduled a new appointment for a visit with the Applicant.
- On January 25, 2022, the Applicant reported the issue on the website. The issue was no longer present at the time of the investigation, therefore on January 26, 2022, the Respondent closed the Applicant's report via email.
- On January 26, 2022, the Applicant reported the issue on the website. The issue was no longer present at the time of the investigation, therefore on January 27, 2022, the Respondent closed the Applicant's report via email.
- On January 27, 2022, the Applicant reported the issue on the website. The issue was no longer present at the time of the investigation, therefore on January 28, 2022, the Respondent closed the Applicant's report via email.
- On January 28 and January 29, 2022, the Applicant reported the issue on the website. The issue was no longer present at the time of the investigation, therefore on January 31, 2022, the Respondent closed the Applicant's report via email.
- On January 31, 2022, the Applicant reported the issue on the website. The issue was no longer present at the time of the investigation, therefore on February 1, 2022, the Respondent closed the Applicant's report via email.
- On January 13, January 14, January 17, January 19, and January 21, 2022, the Applicant also reported the issue via email.

(51)

In response to the Authority's request to verify that the Applicant was informed during the first telephone communication regarding the issue reported to the Respondent starting from December 16, 2021, the Respondent stated generally that all telephone communications between customer service and the customer are recorded, and that the customer is informed of this by an automated system before the verbal transaction begins, which addresses the fact of recording, the duration of the recording's retention, and the availability of a copy of the recording upon request. During the telephone reports of issues initiated by the Applicant after December 16, 2021, the Respondent's call center provided automated information regarding the recording of calls in every case, thus it was mentioned during both the call on January 14, 2022, and the call on January 20, 2022. The detailed rules regarding call recording can be found in the data management information that forms an annex to the

General Terms and Conditions (GTC), which is also referenced in the automated message.

(52)

According to the Respondent's statement, the technician dispatched to the site for troubleshooting calls the Respondent's dedicated sub-center phone number using the mobile phone provided to them, and then provides the customer's phone number. Thus, the call is established through the customer service sub-center to the customer, who is technically called by the technician dispatched to the site through the Respondent's center. The customer, if caller ID is displayed, sees the Respondent's landline number as the incoming caller on their device. The conversation initiated in this way is recorded just like any other call received on the Respondent's customer service number.

(53)

The Respondent provides several contact options for its customers, who can present their cases in person at the customer service center, in writing via dedicated email addresses or online reporting tools, or verbally through the telephone customer service.

(54)

According to the Respondent's statement, it records conversations with the telephone customer service in accordance with the legal obligation set forth in the Consumer Protection Act (Fgytv.). Thus, customers can decide for themselves whether they wish to contact the Respondent via a recorded line or not.

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sem: if you do not wish for the conversation to be recorded, you may contact the Applicant's customer service.

(55)

According to the Applicant's statement, during on-site troubleshooting that requires a visit, the Applicant's subcontractor acts on behalf of and by the authority of the Applicant. The employees of this partner are the technicians who perform troubleshooting on-site for the Applicant. The work orders necessary for the visit are recorded electronically in the Applicant's records and are forwarded to the subcontractor. The technicians performing troubleshooting on-site for the Applicant are thus authorized to process personal data for this purpose under the direct supervision of the data processor, and therefore do not qualify as third parties according to Article 4(10) of the General Data Protection Regulation. Since the work logs are handled electronically in a manner suitable for identifying the technician dispatched by the Applicant, the specific personal identification data of the technician dispatched by the Applicant are also available to the Applicant.

(56)

In response to the Authority's question regarding whether data processors will be involved in the data processing related to the recording of phone calls, the Applicant stated that, as a general rule, it does not involve a data processor in the data processing, and therefore any operations on personal data (the recordings themselves) can only be performed by the Applicant's authorized employees. However, considering that the telephone central system used by the Applicant was built by a business entity, the Applicant will examine in every case whether it is necessary for the builder's employees to access or become acquainted with the personal data recorded in the system during any occasional maintenance or technical support. If such occasional maintenance or technical support occurs, the Applicant would enter into a contract regarding data processing as per Article 28(3) of the General Data Protection Regulation with the builder, recording this fact. There has not yet been any occasional maintenance or technical support that would have required access to personal data or any operations performed on the data. The Applicant does not consider the builder to be a data processor under Article 4(8) of the General Data Protection Regulation, as the builder does not perform any tasks that would involve processing personal data on behalf of the Applicant.

(57)

The Applicant attached to its statement registered under case number NAIH-3005-13/2022 the recorded audio material of the telephone consultations held with the Applicant on January 14, 2022,

and January 20, 2022. Regarding the audio materials, the Applicant emphasized that it provides information about the recording of the call, the request for the audio material, and the processing of personal data during every incoming phone call to its customer service through an interactive voice response system (hereinafter: IVR) before the conversation with the agent begins, via an automated voice. Given that this information is provided before the connection to the agent, and as such, is not part of the communication between the customer service or provider and the consumer or subscriber, it is not recorded.

(58)

The Applicant attached to its statement registered under case number NAIH-3005-17/2022 copies of the audio materials recorded in files 0917704238148.wav and 0969315437415.wav from the conversation held with the Applicant on January 21, 2022. According to the Applicant's statement, during the first conversation with the identifier 0917704238148.wav, the technician performing troubleshooting on-site scheduled an appointment with the Applicant, while in the second audio material, 0969315437415.wav, the Applicant's agent scheduled a new visit time. During the latter consultation, the Applicant specifically inquired whether the conversation would be recorded, to which the Applicant's agent responded affirmatively.

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(59)

The Applicant also submitted the audio material of the information provided by the automated call routing system that receives phone inquiries directed to the general customer service of the Applicant, which information addresses the fact of audio recording, the duration of audio recording retention, and the availability of a copy of the audio recording upon request.

(60)

The Applicant stated, in accordance with its previous declaration registered under case number NAIH-3005-7/2022, that for every phone call received by the telephone customer service, prior to the commencement of verbal processing, an automated system informs the caller about the provisions of the consumer protection law, including the fact of audio recording, its duration, the availability of a copy of the audio recording, and the automated system also refers to the relevant sections of the General Terms and Conditions (GTC) [...] and the data processing information contained in the GTC [...], which details the rules of audio recording in accordance with applicable data protection regulations. During the subscriber contract conclusion – including online orders – subscribers are informed about the GTC, which information was included in the cover letter and contract confirmation document electronically sent by the Applicant to the Applicant on April 4, 2021, according to the Applicant's statement, and on April 8, 2021, according to the attached documentation. In this cover letter and the accompanying information, the Applicant drew the attention of the Applicant as a subscriber to the fact that the subscriber contract consists of the currently applicable GTC regarding the provision of individual services, the individual subscriber contract, and the notifications regarding its essential conditions, which are part of it, and also indicated the link to access the GTC, which [...] contains the data processing information and the rules regarding the audio recording. In connection with the referenced contract conclusion, the informational documentation recorded by the Applicant was submitted to the Authority. The documents attached to the email sent to the Applicant on April 8, 2021, were as follows: "Information on the essential conditions of the subscriber contract"; the data sheet with reference number [...] regarding the service utilized by the Applicant; "Individual subscriber contract" and the channel allocation that is part of its annex. The GTC containing data processing information, as well as a separate data processing information document, were not included in the email or its attachments.

(61)

According to the Applicant's statement, based on this, the Applicant already received the Applicant's data processing information regarding audio recording during the contract conclusion, had the opportunity to familiarize themselves with it, thus the Applicant maintains its position that the Applicant was informed during the phone call on December 22 and 23, 2021, or prior to it – already at the time of

concluding their subscriber contract – that conversations with the Applicant would be recorded in all cases.

(62)

According to the Applicant's statement, the automated call receiving IVR system operated by it functions according to the procedure outlined in Annex 2 of the statement with reference number [...] dated July 22, 2022, in response to the data request NAIH-3005-12/2022, with the exception of negligible potential technical errors that may arise during use. The operation of the Applicant's telephone customer service is based on the IVR system, which forwards every incoming call to the relevant administrator handling the selected topic in the menu system; the automatically played information follows a predefined algorithm, their playback is not optional and cannot be bypassed manually. According to the procedure in question, the caller is informed about the recording of the audio material and its retention in every case.

(63)

The Authority prepared a memorandum regarding the content of the audio recordings available to it under case number NAIH-3005-18/2022, as follows.

12

1. 0917704207612.wav

(64)

In a 18-second recording, during a call initiated by the technician's colleague dispatched to the location for troubleshooting, the colleague indicates that they have arrived at the Applicant's location to perform the repair work. There is no mention of the call being recorded.

2. 0917704229672.wav

(65)

In a 22-second recording, during a call initiated by the technician's colleague dispatched to the location for troubleshooting, the colleague inquires when the Applicant will be home and when they can come to perform the repair work. After the Applicant indicated that they are currently at home, the technician's colleague informed them that they could arrive around half an hour to three-quarters of an hour. There is no mention of the call being recorded.

3. 0969216778307_01.wav (10 minutes)

January 20, 2022, Part 1

0969216778362_02.wav (18 seconds)

January 20, 2022, Part 2

0969216778402_03.wav (5 minutes)

January 20, 2022, Part 3

(66)

In the recordings, the Applicant inquires whether there is an open fault report, and then this is investigated. There is no mention of the call being recorded.

4. 0969315387295_04.wav (6 minutes 54 seconds)

January 14, 2022, Part 1

0969412773191_05.wav (9 minutes 20 seconds)

January 14, 2022, Part 2

0969412773274_06.wav (1 minute 16 seconds)

January 14, 2022, Part 3

(67)

The Applicant files a fault report and refers to the fact that they had already done so online on December 16, 2021, but there has been no improvement in the service. At the end of the conversation, the Applicant requests the immediate termination of the contract, therefore the Respondent's fault

report handling agent connected the Applicant to another agent. During this conversation, the agent promises to dispatch a technician for troubleshooting and to provide discounts due to the prolonged fault. There is no mention of the call being recorded.

5. 0917704238148.wav (19 seconds)
January 21, 2022.

(68)

In the recording, during a call initiated by the technician's colleague dispatched to the location for troubleshooting, the colleague inquires when the Applicant will be home and when they can come to perform the repair work. The Applicant informs the technician's colleague that they will be home after four o'clock, which the colleague thanks them for. There is no mention of the call being recorded.

6. 0969315437415.wav (2 minutes 59 seconds)
January 21, 2022.

(69)

In the recording, during a call initiated by the Respondent's fault report handling agent, the Respondent's fault report handling agent arranges a new dispatch time with the Applicant. During the arrangement, the Applicant asks, "Is this conversation being recorded?", to which the Respondent's fault report handling agent answers yes.

III. Established Facts

(70)

Based on the above, it can be established that in the present case, the Applicant was attended to by the technician's colleague dispatched to the location for troubleshooting on December 23, 2021, and January 14, 2022.

****13****

On January 21, 2022, the customer service officer called from a Budapest number, during which calls it was acknowledged by the Applicant that it was not communicated in advance to the Applicant that recordings of the conversations would be made.

****IV. Applicable Legal Provisions****

(71) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation must be applied to the processing of personal data carried out in whole or in part by automated means, as well as to the processing of personal data that is not carried out by automated means but forms part of a filing system or is intended to form part of a filing system.

(72) According to Section 2(2) of the Information Act, the General Data Protection Regulation must be applied with the supplements specified in the provisions indicated therein.

(73) According to Section 38(2) of the Information Act, the Authority is responsible for monitoring and facilitating the enforcement of the right to the protection of personal data, as well as the right to access public interest and publicly accessible data, and for facilitating the free movement of personal data within the European Union.

(74) According to Section 38(2a) of the Information Act, the tasks and powers established for the supervisory authority in the General Data Protection Regulation are exercised by the Authority concerning entities under the jurisdiction of Hungary in accordance with the provisions specified in the General Data Protection Regulation and this law.

(75) According to Section 38(3)(b) of the Information Act, in the exercise of its tasks under Sections 38(2) and (2a), the Authority shall conduct data protection authority proceedings at the request of the data subject and ex officio as specified in this law.

(76) According to Section 60(1) of the Information Act, in order to enforce the right to the protection of personal data, the Authority shall initiate data protection authority proceedings at the request of the data subject and may initiate data protection authority proceedings ex officio.

(77) According to Section 103(1) of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.), in ex officio proceedings, the provisions of this law applicable to proceedings initiated at the request of a party shall be applied with the deviations contained in this chapter.

(78) In the absence of differing provisions in the General Data Protection Regulation, the provisions of the Ákr. shall apply to data protection authority proceedings initiated at the request of a party with the deviations specified in the Information Act.

(79) According to Article 4(1) of the General Data Protection Regulation: “personal data”: any information relating to an identified or identifiable natural person (“data subject”); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.”

(80) According to Article 4(2) of the General Data Protection Regulation: “processing”: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction.”

****14****

(81) According to Article 4(7) of the General Data Protection Regulation: “controller”: the natural or legal person, public authority, agency, or any other body which determines the purposes and means of the processing of personal data, either alone or jointly with others; where the purposes and means of processing are determined by Union or Member State law, the controller or the specific criteria for the designation of the controller may also be provided for by Union or Member State law.”

(82) According to Article 5(1)(a) and (b) of the General Data Protection Regulation: “Personal data: a) shall be processed lawfully and fairly, and in a transparent manner in relation to the data subject (‘lawfulness, fairness, and transparency’)

b) shall be collected for specified, legitimate purposes and not further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest, scientific and historical research purposes, or statistical purposes shall not be considered incompatible with the initial purposes in accordance with Article 89(1) (‘purpose limitation’).”

(83) According to Article 6(1)(c) of the General Data Protection Regulation: “The processing of personal data shall be lawful only if and to the extent that at least one of the following applies:

c) processing is necessary for compliance with a legal obligation to which the controller is subject.”

(84) According to Article 13 of the General Data Protection Regulation: “(1) Where personal data are collected from the data subject, the controller shall provide the data subject with the following information at the time of obtaining the personal data:

a) the identity and contact details of the controller and, where applicable, of the controller’s representative;

b) the contact details of the data protection officer, where applicable;

c) the purposes of the processing for which the personal data are intended as well as the legal basis for the processing;

d) where processing is based on point (f) of Article 6(1), the legitimate interests pursued by the controller or by a third party;

e) recipients or categories of recipients of the personal data, if any;

f) where applicable, the fact that the controller intends to transfer personal data to a third country or an international organization, as well as the existence or absence of an adequacy decision by the Commission, or in the case of transfers referred to in Article 46, Article 47, or the second subparagraph of Article 49(1), the reference to the appropriate and suitable safeguards and the means by which to obtain a copy of them or the fact that they are available.

(2) In addition to the information referred to in paragraph 1, the controller shall, at the time of obtaining

the personal data, provide the data subject with the following additional information to ensure fair and transparent processing:

- a) the period for which the personal data will be stored, or if that is not possible, the criteria used to determine that period;
- b) the existence of the data subject's rights to request from the controller access to, rectification of, erasure of, or restriction of processing of personal data concerning him or her, and to object to such processing, as well as the right to data portability;
- c) where processing is based on point (a) of Article 6(1) or point (a) of Article 9(2), the right to withdraw consent at any time, without affecting the lawfulness of processing based on consent before its withdrawal;
- d) the right to lodge a complaint with a supervisory authority;
- e) whether the provision of personal data is a statutory or contractual requirement or a requirement necessary to enter into a contract, as well as whether the data subject is obliged to provide the personal data and the possible consequences of failing to provide such data;"

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to provide personal data, as well as what possible consequences may arise from the failure to provide such data;

- f) the fact of automated decision-making referred to in Article 22(1) and (4), including profiling, as well as understandable information regarding the logic involved in such cases and the significance of such data processing, as well as the expected consequences for the data subject.

(3) If the data controller intends to carry out further processing of personal data for purposes other than those for which the data were collected, it must inform the data subject of this different purpose and all relevant supplementary information mentioned in paragraph (2) prior to the further processing.

(4) The provisions of paragraphs (1), (2), and (3) shall not apply if and to the extent that the data subject already has the information."

(85)

According to Article 58(2) of the General Data Protection Regulation: "When exercising its corrective powers, the supervisory authority:

- a) warns the data controller or processor that certain planned data processing activities are likely to infringe the provisions of this Regulation;
- b) reprimands the data controller or processor if their data processing activities have infringed the provisions of this Regulation;
- c) instructs the data controller or processor to comply with a request from the data subject to exercise their rights under this Regulation;
- d) instructs the data controller or processor to bring their data processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time, where applicable;
- e) instructs the data controller to inform the data subject of a data breach;
- f) temporarily or permanently restricts processing, including prohibiting processing;
- g) orders the rectification or deletion of personal data, or the restriction of processing in accordance with Articles 16, 17, and 18, and orders the notification of those recipients to whom the personal data have been disclosed, in accordance with Article 17(2) and Article 19;
- h) withdraws a certification or instructs the certifying body to withdraw a certification issued in accordance with Articles 42 and 43, or instructs the certifying body not to issue a certification if the conditions for certification are not or are no longer met;
- i) imposes an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph; and
- j) orders the suspension of data flows to a third country or an international organization."

(86)

According to Section 71(2) of the Infotv.: "The Authority may use documents, data, or other evidence lawfully obtained during its proceedings in another proceeding."

(87)

According to Section 141 of the Eht.: "(1) The service provider is obliged to record fault reports, the results of fault isolation procedures, and the measures taken based on fault rectification in a traceable manner, either by audio recording or by other electronic means, and must retain this data for at least one year in compliance with data processing regulations.

(2) The service provider must confirm the fault report to the subscriber and must also register it in addition to the recording. The register must include:

- a) the notification address or other identifier of the subscriber;
- b) the subscriber's phone number or other identifier;
- c) a description of the fault phenomenon;
- d) the date of the fault report (year, month, day, hour);
- e) the measures taken to identify the cause of the fault and their results;
- f) the cause of the fault;
- g) the method and date (year, month, day, hour) of fault rectification, and its result (including failure and the reason for it);

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h) the method and timing of the subscriber's notification, particularly regarding the confirmation of the subscriber's report, as well as the method and timing of notifications concerning the provisions of point g).

(3) The service provider may not condition the rectification of a fault within its own interest on payment of a fee, nor may it impose any other conditions requiring the subscriber's cooperation.

(88)

According to Section 188, point 13 of the Eht.: "Individual subscriber: a natural person subscriber who has declared that they are using the subscriber service outside the scope of their economic activity."

(89)

According to Section 188, point 16 of the Eht.: "Electronic communications service: a service provided to others generally for consideration – typically for a fee – which, with the use of electronic communication networks and electronic communications services, provides content transmitted, services exercising editorial control over such content, or services that are not classified as interpersonal communications services defined by law related to the information society, except for the following:

- a) internet access service;
- b) interpersonal communications service; and
- c) a service consisting entirely or predominantly of the transmission of signals over electronic communication networks, and where applicable, their control, including machine-to-machine services and transmission services used for broadcasting."

(90)

According to Section 188, point 17 of the Eht.: "Electronic communications provider: the operator of an electronic communication network, as well as a natural person, legal entity, or other organization providing electronic communications services."

(91)

According to Section 188, point 27 of the Eht.: "Subscriber service: an electronic communications service that is publicly available and does not qualify as a network service under this law."

(92)

According to Section 2, point a) of the Fgytv.: "a) consumer: a natural person acting for purposes outside their independent occupation and economic activity, who purchases, orders, receives, uses, or avails themselves of goods or is the addressee of commercial communication related to the goods. For the application of the rules regarding the conciliation body – except for the application of the European Parliament and Council Regulation (EU) 524/2013 of May 21, 2013, on the online resolution of consumer disputes, and the amendment of Regulation (EC) 2006/2004 and Directive 2009/22/EC – a consumer also includes a civil organization, ecclesiastical legal entity, condominium, housing

cooperative, micro, small and medium-sized enterprise acting for purposes outside their independent occupation and economic activity, which purchases, orders, receives, uses, or avails themselves of goods or is the addressee of commercial communication related to the goods. Within the internal market, a buyer is considered a consumer, in addition to the above, if they are classified as a business under Regulation (EU) 2018/302."

(93)

According to Section 2, point k) of the Fgytv.: "service contract: any contract other than a sales contract under which a business provides a service to the consumer or undertakes to provide a service, and the consumer pays or undertakes to pay the fee for the service."

(94)

According to Section 2, point h) of the Fgytv.: "public service: a business subject to a product sales or service provision obligation under a special law."

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based on the provision of water utility services, district heating services, regular collection, transportation, and disposal of municipal solid and liquid waste, electronic communications services, postal services, electricity services provided to universal service eligible users based on electricity purchase agreements or network usage agreements, as well as natural gas services provided to universal service eligible users based on natural gas trading agreements or distribution network usage agreements."

(95)

According to Section 2, point l) of the Consumer Protection Act (Fgytv.): "goods: products, real estate, and property rights, as well as services."

(96)

According to Section 17/B, paragraph (3) of the Fgytv.: "In the case of a customer service operated via telephone access, and in the case of telephone access provided for the prior reservation of the appointment for administration, it must ensure that calls initiated by the consumer are answered within five minutes from the time of successful connection, and that substantive administration begins, unless it is not possible due to unavoidable reasons outside the scope of activity, provided that the business acted as generally expected in the given situation. The business is obliged to place the option for live voice administration of complaints at the top of the menu of the customer service operated via telephone access without identifying the consumer – without forwarding advertisements. All verbal complaints made by phone to the customer service, as well as the telephone communication between the customer service and the consumer, must be recorded. If the recording contains the content elements specified in Section 17/A, paragraph (5) – excluding the location of the complaint submission, the list of evidence presented by the consumer, the signature of the person taking the minutes, as well as the location and time of the minute-taking – the recording of the minutes may be omitted with the consumer's consent. The audio recording must be assigned a unique identification number and must be retained for five years."

(97)

According to Section 17/B, paragraph (3a) of the Fgytv.: "At the consumer's request, free of charge within 30 days from the date of becoming aware of the consumer's request, it must be ensured that
a) the audio recording can be listened to at the business's customer service as per paragraph (1),
b) a copy of the audio recording must be provided once per recording."

(98)

According to Section 17, paragraph (3b) of the Fgytv.: "If the consumer requests, the copy of the audio recording must be provided electronically. The consumer may exercise the rights specified in paragraph (3a) jointly or separately. The business may not condition the release of the audio recording on any other requirement beyond the identification of the consumer. The business is obliged to inform the consumer about its obligations regarding the creation, retention, and provision of the audio recording, as well as the unique identification number at the beginning of the telephone

administration.”

IV. Decision

(99)

The Applicant is Hungary's leading telecommunications provider with a wide customer base. The subject of this procedure is the examination of the practice of audio recording and informing about it during telephone customer service in relation to the Applicant and generally.

4 [...]

18

(100)

According to the definitions in the General Data Protection Regulation, the Applicant's voice is considered personal data, and any operation performed on personal data, such as the recording, storage, or use of personal data, is classified as data processing.

(101)

Article 5 of the General Data Protection Regulation contains the main principles that must be considered during the processing of personal data and which must continuously be upheld throughout the data processing. According to the accountability requirement set out in Article 5(2) of the General Data Protection Regulation, the data controller is responsible for compliance with the data protection principles and must be able to demonstrate this compliance. Accordingly, the data controller is obliged to document and record the data processing in such a way that its legality can be proven later.

(102)

One such principle is the purpose limitation principle set out in Article 5(1)(b) of the General Data Protection Regulation, which states that the collection of personal data may only occur for specified, explicit, and legitimate purposes, and that such data may not be processed in a manner incompatible with those purposes.

(103)

Another requirement for the legality of data processing is that the processing must be based on one of the legal grounds referred to in Article 6(1) of the General Data Protection Regulation.

(104)

The Respondent based its data processing on Section 17/B(3) of the Consumer Protection Act.

(105)

The Authority relied on the legal provisions in effect at the time of the phone calls contested by the Applicant, namely the regulations in effect on December 23, 2021, and January 14 and 21, 2022, which were also referenced by the Respondent.

(106)

Accordingly, Section 17/B(3) of the Consumer Protection Act, as cited by the Respondent, stipulates – among other things – that all verbal complaints made by phone to customer service, as well as the telephone communication between customer service and the consumer, must be recorded. According to the Respondent's legal position, this requirement constitutes a legal obligation under Article 6(1)(c) of the General Data Protection Regulation.

(107)

The Respondent argues that the Consumer Protection Act does not explicitly state the purpose of data processing; this can be determined by uncovering the legislative intent. Based on this, the Respondent's position is that every rule serving consumer protection as recorded in the Consumer Protection Act aims to protect and enforce "consumer interests" as stated in the preamble of the Act. The legislative justification for recording audio is "the subsequent proof of statements made over the phone."

(108)

In contrast, the General Terms and Conditions and the data processing information applied by the

Respondent specifically define the purposes of data processing: handling subscriber, user, and consumer inquiries, processing complaints, investigating and addressing fault reports, effectively and promptly responding to faults, and monitoring the quality of customer service activities.

(109)

The Authority, considering the provisions of the Consumer Protection Act, establishes that the Respondent lawfully records all verbal complaints made by phone to its customer service, as required by the Consumer Protection Act, and also uses the recordings for lawful purposes. The purposes indicated in the Respondent's General Terms and Conditions and data processing information are in line with the values set out in the Consumer Protection Act, namely the protection of consumer interests. Based on this, the three phone calls contested by the Applicant, which were realized through the Respondent's customer service, were also lawfully recorded by the Respondent, a fact that the Applicant did not contest regarding the Respondent's legal obligation.

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(110) The Applicant expressed a lack of preliminary information regarding the recording of calls and consequently objected that they were unable to contest the call or terminate it. In their view, the recordings of the phone calls were made by the Respondent against their will and without their prior consent.

(111) The Authority refers back to the above regarding the lack of objection and consent, stating that the recording of calls is mandated by the Fgytv., thus the data processing is based on a legal obligation under Article 6(1)(c) of the General Data Protection Regulation (GDPR). This implies that the legal basis of consent is not applicable, and the data subject has the option, as the Respondent also stated, to terminate the phone call following the information provided about the recording, thereby preventing the recording from taking place. The legal obligation basis also implies that the right to object regulated by Article 21 of the GDPR cannot be exercised against data processing based on this legal basis, considering that this right can only be enforced against data processing based on Article 6(1)(e) or (f) of the GDPR, but not against processing based on (c). In this case, the data subject still has the option to terminate the phone call after being informed about the recording, thus preventing the recording from occurring.

(112) Under these circumstances, the existence of transparent information regarding the voice recording should be examined.

(113) The justification of this decision in Section I, paragraphs (29)-(62) contains the Respondent's position on how it has provided and continues to provide preliminary information regarding the recording of phone calls in relation to the Applicant and in general.

(114) In this regard, the Authority's position is as follows.

(115) The principle of transparency—as well as legality and fair procedure—is contained in Article 5(1)(a) of the GDPR, which states that the processing of personal data must be conducted in a transparent manner for the data subject, alongside the requirements of legality and fairness.

(116) The principle of transparency can be realized through adequate information about the data processing. The rules for information provision and the information to be provided therein are contained in Article 12(1) and Articles 13(1)-(2) of the GDPR when personal data is collected from the data subject. Regarding the information to be made available to the data subject, the data controller may apply multi-layered information. Accordingly, the first layer is the primary mode of initial contact with the data subject. In this phase, data controllers must provide information about essential details, such as the purpose of data processing, the identity of the data controller, detailed information regarding the rights of the data subject, information about the most significant impacts of data processing, and where the second layer of complete information, containing all information as per Articles 13(1)-(2) of the GDPR, can be accessed.

(117) Based on the information available to the Authority, the Respondent applies this multi-layered information by providing brief verbal information about the essential details of data processing during

any phone call initiated by a caller to its customer service, and indicating where the detailed data processing information can be found. A similar content of information is provided when the Respondent's customer service initiates a phone call. Additionally, in the case of the Applicant, the Respondent sent the contract via email at the time of contract conclusion on April 8, 2021, and informed the Applicant about the availability of the General Terms and Conditions (GTC). The GTC contains data processing information, as well as...

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However, the separate data processing information did not constitute an attachment to the email, as well as to the email attachments.

(118)

Furthermore, none of the audio recordings sent to the Authority – including the calls on January 14 and January 20, 2022, as claimed by the Respondent – contain any information that the three calls objected to by the Applicant would be recorded, whether initiated by the Respondent or the Applicant, regarding the scheduling of the repair work, notification that the Respondent's employee had arrived to perform the repair work, or any other fault report and its recording. It was also not substantiated that the Applicant received any information at the beginning of the fault reports, during the first fault report. In response to the Authority's question on this matter, the Respondent only described its general procedure, information practice, and that it informed the Applicant about where information regarding data processing could be accessed.

(119)

According to the Authority's position, the fact that the Respondent claims to have informed the Applicant about the recording of audio files through other means, via the General Terms and Conditions (GTC) and in the data processing information available on its website, as well as the mitigating circumstance that the Applicant was aware of the fact of data processing because they exercised their rights as a data subject and requested the audio recording, is insufficient and inappropriate.

(120)

The exception rule under Article 13(4) of the General Data Protection Regulation, which states that paragraphs (1) to (3) do not apply, is to be interpreted such that the provision of information is not necessary if the data subject already possesses information regarding the data processing. This exception can only be invoked if the data controller can demonstrate this fact in accordance with the principle of accountability. Therefore, it is advisable to document the content, manner, and timing of the information provided.

(121)

According to the Authority's position, even if it is true that the Applicant viewed and opened the GTC referenced in the Respondent's electronic letter and the data processing information that constitutes its annex, the actual acknowledgment of this is not proven. Furthermore, none of the texts of the documents explicitly state that communication with the Respondent's on-site technician performing fault rectification would also be recorded, and the Authority's position is that the interpretation that all calls with the service provider are recorded by the Respondent is not self-evident and does not follow from the wording. The Authority's position is that this definition implies that all telephone communication with the Respondent's customer service and representatives is recorded. It became known from the statements presented to the Authority that the dispatched technician also calls the affected parties through customer service; however, this does not clearly follow from the documents reviewed by the Authority. Consequently, it can be established that, in addition to the lack of evidence that the Applicant received the information, the text of the information is neither clear nor transparent before the Applicant, nor in general.

(122)

Moreover, providing the first-level information at the beginning of the call is necessary because, at that moment, the Respondent's employee may not necessarily have the knowledge that the calling or called party is a customer of the Respondent who has access to the information regarding data

processing, based on which further information does not need to be provided. If, however, it is not a customer, the knowledge of the information through the website cannot be substantiated.

(123)

In response to the justification that if someone exercises their rights as a data subject and requests a copy of the audio recordings, it does not follow that they are aware of the circumstances of data processing, it is merely that they are aware or assume that an audio recording may exist.

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(124) According to the principle of accountability set out in Article 5(2) of the General Data Protection Regulation, the data controller must implement data processing operations in such a way throughout the entire process of data processing that it is able to demonstrate compliance with data protection rules. Therefore, the principle of accountability is not only interpretable at a general, process level, but also applies to each specific data processing activity concerning the personal data of a specific data subject.

(125) Furthermore, considering that the General Terms and Conditions (GTC) and the data processing information do not specifically state that communication with the technician dispatched by the Applicant for troubleshooting would also be recorded, the Authority finds that the Applicant has violated the principle of transparency under Article 5(1)(a) of the General Data Protection Regulation (Operative Part 1).

(126) However, the recordings provided to the Authority, as well as the statements made by the Applicant, do not prove that, specifically in the case of the Applicant, and generally in such cases concerning other data subjects, the information was provided or would be provided at the time of reporting the error. Therefore, the Authority concludes that the Applicant has violated the principle of accountability under Article 5(2) of the General Data Protection Regulation (Operative Part 2).

(127) The Authority agrees that during every dispatch, it is not necessary for the technician dispatched by the Applicant to provide information about the recording of the call, but it is indeed necessary when reporting errors, as well as for every call specifically incoming to and outgoing from customer service. In other words, the information should be provided by customer service, in certain cases at the time of reporting the error, as supported by the statement describing the general practice presented by the Applicant: in the case of a phone call to the telephone customer service, the Applicant informs the caller about the recording of the call using an automated system before the verbal handling of the matter begins. Additionally, it is necessary to amend the GTC and data processing information used by the Applicant in such a way that it is clear that the Applicant also conducts these calls through its customer service and records these calls as well.

V. Legal Consequences

(128) The Authority has found the Applicant in violation based on Article 58(2)(b) of the General Data Protection Regulation for violating Article 5(1)(a) and (2) of the General Data Protection Regulation, as it breached the principle of transparency and failed to demonstrate that it provided adequate information.

(129) The Authority instructs the Applicant, based on Article 58(2)(d) of the General Data Protection Regulation, to make its data processing transparent by specifying in its information on data processing that communication with the technician dispatched by the Applicant for troubleshooting will also be recorded as a phone call conducted through the Applicant's customer service.

(130) The Authority examined whether it was justified to impose a data protection fine on the Applicant. In this context, the Authority considered all circumstances of the case based on Article 83(2) of the General Data Protection Regulation and Section 75/A of the Information Act and concluded that a warning is neither a proportional nor a deterrent sanction; therefore, imposing a fine is necessary. The Authority specifically established the data protection fine concerning the Applicant in relation to the violation of Article 5(2) of the General Data Protection Regulation in the application procedure, but not concerning other data subjects, thus not imposing a fine for the general practice.

(131)

The Authority, in determining the amount of the fine, primarily considered that the violations committed by the Applicant qualify as a violation falling into the higher fine category according to Article 83(5)(b) of the General Data Protection Regulation.

(132)

In determining the amount of the data protection fine, the Authority took into account as mitigating circumstances that

- the violations committed by the Applicant arose from negligence and a misclassification of the requirements for transparent information [Article 83(2)(b) of the General Data Protection Regulation];
- the Authority significantly exceeded the administrative deadline [Article 83(2)(k) of the General Data Protection Regulation].

(133)

In determining the amount of the data protection fine, the Authority considered as aggravating circumstances that

- the Applicant's core activity involves data processing, which is carried out extensively on a daily basis. Consequently, it is expected that the Applicant possesses adequate data protection knowledge and conducts the data processing examined in this case in compliance with data protection requirements, transparently, and in an accountable manner [Article 83(2)(a) and (k) of the General Data Protection Regulation];
- the Applicant has been subject to sanctions for violations of the General Data Protection Regulation multiple times. In its decision NAIH/2020/3479/10, the Authority found a violation of Article 5(1)(d) of the General Data Protection Regulation. In decision NAIH-180-16/2022, the Authority similarly found a violation of accountability under Article 5(2) of the General Data Protection Regulation, as well as violations of Article 6(1), Article 12(2), and Article 17(1)(b) of the General Data Protection Regulation. Furthermore, in decision NAIH-1621-17/2022, the Authority found a violation of Article 15(3) of the General Data Protection Regulation. [Article 83(2)(e) of the General Data Protection Regulation].

(134)

In determining the data protection fine imposed on the Applicant, the Authority did not consider the circumstances under Article 83(2)(c), (d), (f), (g), (h), (i), and (j) of the General Data Protection Regulation to be relevant, as they cannot be interpreted in the context of the specific case.

(135)

The net sales revenue of the Applicant in 2023 was approximately 200,000.00 million forints, thus the imposed data protection fine is distant compared to the maximum fine that could be imposed.

VI. Other Issues:

(136)

The Authority's jurisdiction is defined by Section 38(2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(137)

The Authority's current decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication in accordance with Section 82(1) of the Ákr. According to Section 112 of the Ákr., and Section 116(1) and (4)(d) of the Ákr., as well as Section 114(1) of the Ákr., there is a right to legal remedy against the decision through administrative litigation.

* * *

(138)

According to Section 135 of the Ákr., the obligated party is required to pay a late fee corresponding to the legal interest rate if it fails to fulfill its monetary payment obligation by the deadline.

(139) According to Section 6:48 (1) of Act V of 2013 on the Civil Code, in the case of a monetary debt, the debtor is obliged to pay default interest equal to the central bank base rate applicable on the first day of the calendar half-year affected by the default, starting from the date of default.

(140) The rules of administrative litigation are determined by Act I of 2017 on the Administrative Litigation Code (hereinafter: Kp.). According to Section 12 (1) of the Kp., administrative litigation against the decision of the Authority falls under the jurisdiction of the court, and based on Section 13 (3) a) aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27 (1) b) of the Kp., in a legal dispute where the court is exclusively competent, legal representation is mandatory. According to Section 39 (6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(141) Section 29 (1) of the Kp. applies, and in this regard, Section 604 of Act CXXX of 2016 on the Civil Procedure Code is applicable, according to which, based on Section 9 (1) b) of Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services, the client's legal representative is obliged to maintain electronic communication.

(142) The time and place for submitting the statement of claim are determined by Section 39 (1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77 (1)-(2) of the Kp.

(143) The amount of the administrative litigation fee is determined by Section 45/A (1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the procedure is exempt from the prior payment of the fee under Section 59 (1) and Section 62 (1) h) of the Itv.

(144) If the Respondent does not adequately prove the fulfillment of the prescribed obligation and monetary payment obligation, the Authority will consider that the Respondent has not fulfilled its obligations within the deadline. According to Section 132 of the Ákr., if the Respondent has not complied with the obligations set out in the Authority's final decision, it is enforceable. The Authority's decision becomes final upon communication according to Section 82 (1) of the Ákr. According to Section 133 of the Ákr., enforcement is ordered by the authority that made the decision, unless otherwise provided by law or government decree. According to Section 134 of the Ákr., enforcement is carried out by the state tax authority, unless otherwise provided by law, government decree, or a local government regulation in a local government authority matter. According to Section 61 (7) of the Infotv., regarding the obligation to perform a specific act, to behave in a certain way, to tolerate, or to cease an action as stated in the Authority's decision, the Authority will carry out the enforcement.

(145) The Authority exceeded the one hundred fifty-day administrative deadline set forth in Section 60/A (1) of the Infotv. during the procedure; therefore, based on Section 51 b) of the Ákr., the Applicant is entitled to ten thousand forints – at their choice – by bank transfer or postal money order.

Budapest, July 31, 2024.

Dr. habil. Péterfalvi Attila, in the absence of the president:

Dr. Bendik Tamás

general vice president